

05 Director's Report

The director's report is a mandatory requirement that covers the director's performance and their overview of the firm. It also provides us with information regarding various committees and key management employees such as managing directors and full-time directors, CEO, CFO and so on and also their compensation.





Corporate Overview

Statutory Reports

Financial Statements

Director's Report

To
The Members,

Your Directors have pleasure in presenting the 22nd Annual Report on the business & operations of the Company together with the Standalone and Consolidated Audited Financial Statement for the year ended 31st March 2021.

1. FINANCIAL HIGHLIGHTS:

(₹ in crores)

Particulars	Standalone		Consolidated	
	2020-21	2019-20	2020-21	2019-20
Gross Revenue from operations	3640.87	2774.01	4071.92	3,288.53
Other Income	5.20	2.88	4.04	4.65
Total Revenue	3646.07	2776.89	4075.96	3,293.18
Operating expenses	2596.86	2333.99	2843.03	2664.28
Profit before Interest, Depreciation, Tax and Amortization (EBITDA)	1049.21	442.90	1232.93	628.90
Finance Costs	109.99	153.66	153.94	211.93
Depreciation and amortization expenses	96.49	91.60	138.45	136.90
Profit(loss) before exceptional item and tax	842.73	197.64	940.54	280.07
Exceptional item	63.00	-	-	10.28
Profit(Loss) Before Taxation	905.73	197.65	940.54	269.79
Taxation (including Deferred Tax)	279.97	76.24	316.05	95.36
Profit(Loss) after Taxation (PAT)	625.76	121.40	624.49	174.43
Add: Share of Profit(Loss) of Associates & Joint Ventures (after tax)	-	-	30.03	2.81
Other Comprehensive Income	0.62	(1.68)	34.69	(11.13)
Total Comprehensive Income for the period comprising profit(loss) and other comprehensive income for the period	626.38	119.72	689.21	166.11

2. REVIEW OF PERFORMANCE:

The Steel industry suffered a setback due to the prevailing COVID19 pandemic and the consequent lockdowns. The industry's key customer sectors like automobiles, construction and oil & gas drillers struggled hard to survive due to prolonged shutdowns, disrupted supply chains, collapsing confidence and delayed investment. Despite all these adverse circumstances, your company had out performed during the current financial year in all its operations achieving optimum utilization of its capacities.

Your Company's performance during the year has been very much satisfactory, in view of higher demand for iron ore & iron ore pellets in international and domestic market. During the year the realizations of all the products have also increased especially in iron ore pellets as compared to previous year which in turn contributed towards increased operating margins/EBITDA margins of the Company. As communicated in our last reports, the Company's efforts for making grade pellet has been successful and started selling in the domestic

and international markets. Your company is aiming to make 100% of high-grade pellet going forward. Given the above backdrop, the highlight of standalone & consolidated results are given below:

Standalone Operations:

- Revenue from operations for the year increased by 31.24% to ₹3640.87 Crores as compared to ₹2774.01 Crores achieved during previous Financial Year.
- EBITDA for the year increased by 136.89% to ₹1049.21 Crores as compared to EBITDA of ₹442.90 Crores achieved in previous Financial Year.
- Profit after tax increased by 415.46% to ₹625.76 Crores as compared to net profit of ₹121.40 Crores in previous Financial Year.
- Net debt of the Company at the end of year stood at ₹457 Crores as against ₹1055 Crores in previous year, reduction by ₹598 crores.

The annexures to a director's report are quite important and include very crucial information.